

THE CRISIS OF CAPITALISM

PART 2

Alfani-Colli 10.2 -10.3
Part of Feinstein et al. Chapter 8

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a.y. 2025/2026

IN THIS CLASS

Feinstein, Charles H., Peter Temin & Gianni Toniolo (2008), *The World Economy Between the World Wars*, Oxford University Press. Chapter 8: 'The fragmented world of the 1930s'.

- Orthodox economy
- Reactions

INTERNATIONAL RELATIONSHIPS

On the international front, attempts to provide a common response to the crisis are weak:

- In 1931, Hoover's moratorium on inter-allied and reparations payments, suspending payments for a year.
- In 1932, the Lausanne Conference resulted in the abolition of German reparations.
- In 1933, the London Economic and Monetary Conference witnessed a failed attempt to stabilize major currencies: the dollar, pound sterling, and the French franc.

But there was not anymore confidence in the financial system

THE GREAT CRASH

The Wall Street Crash (1929) led to:

- a global financial and economic crisis
- the reduction of American loans
- a massive contraction in world trade
- restrictive monetary policies and deflation
- increased customs barriers and control over capital flows
- rise in unemployment rates

- Increase in taxes
- Remain under the gold standard
- Balanced budget

Searching for the right answers and finding bad results

EXAMPLES

Chancellor Brüning of Germany (1930-32):

- In 1931, effectively suspended the gold standard by imposing strict controls on currency and capital movements but **did not use monetary policy** to stimulate the economy, opting instead to reduce public spending and salaries.

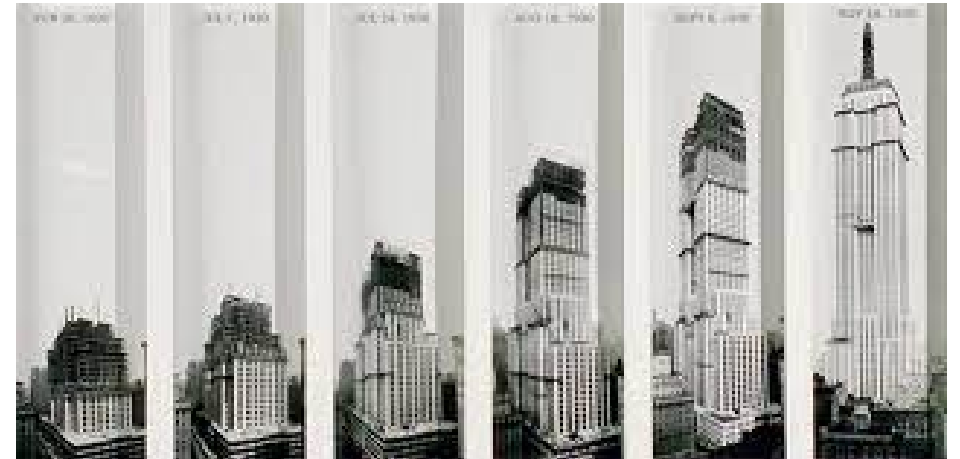
Other related events:

- **The tax increase** implemented by U.S. President Herbert Hoover in 1932 to balance the budget.
- **France's steadfast adherence to the gold standard** at the London Monetary Conference in 1933.

The ideology of the gold standard (financial orthodoxy) that led decision-makers to adopt counterproductive policies was, however, shared by broad segments of public opinion.

USA: HOOVER REACTION

- In the months following the crash the gold standard forced central banks to pursue **restrictive** monetary policies.
- No one thought of implementing expansionary monetary policies and everyone preferred to adopt **spending review measures**.
- These defensive strategies produced liquidity crises and **multiple bank failures** (especially in the USA).
- The tight control on capital flows had **negative effects on international trade**.



USA: HOOVER REACTION

President Hoover, always convinced that the government should not intervene with countercyclical policies, was forced to change his mind in the face of unemployment numbers, but the outcomes were not positive.

- In 1932 (**Reconstruction Finance Corporation**), he created a federal fund to be allocated to the largest banks, which were supposed to help the smaller ones in turn. The resources were inadequate. Large banks allowed the smaller ones to fail.
- The FED decided **to lower the discount rate** to expand credit, but banks used liquidity to shore up their own accounts rather than granting credit.
- Hoover also aimed for a **balanced budget**, which could be achieved by reducing service expenses or increasing taxes; both options would further depress the economy

ECONOMIC ORTHODOXY

- **Balanced budgets** (Fiscal Policy): The core belief that governments must not spend more than they earn (i.e., avoid large, structural budget deficits). **Running continuous deficits is seen as fiscally irresponsible and a direct cause of inflation or currency instability.**
- **Sound money** (Monetary Policy): The commitment to a stable, non-inflationary currency. Historically, this meant adherence to the Gold Standard or a fixed exchange rate. In modern terms, it means giving the central bank independence with a clear mandate for price stability (low and stable inflation).
- **Fiscal prudence**: Maintaining low levels of public debt relative to national income (GDP).



ORTHODOXY AND REALITY

- While the approach of the ruling classes was anchored to liberal principles and ideology of 19th-century origin, the situation inherited from the war called for new, less rigid solution.
- New urgent issues on the political agenda:
 - social distress → veterans, the maimed, the disabled, war orphans and widows
 - Reconstruction
 - Return to a peace time economy
 - Bank failures

Liberal and orthodox financial principles required a balanced budget.

- But reconstruction and social problems pushed for an increase in public spending.

→ **distributive conflict: wealth tax or indirect taxation?**



THE BEGINING OF THE WELFARE STATE

- The Crisis of 1929 had revealed imperfections in the functioning of market mechanisms.
- State intervention proved indispensable to correct market failures, giving rise to the concept of the welfare state.
- According to the vision of **John Maynard Keynes**, **states should have adopted countercyclical policies**: Governments would have made public spending the engine of economic recovery:
 - wages, consumption, and profits would have mutually supported each other (Keynesian multiplier).
- In particular, Keynes criticized Say's Law, which posits that 'supply creates its own demand,' as, in his view, it does not function in a crisis context

GOODBYE ECONOMIC ORTHODOXY

During the 1930s, more and more countries decided to disengage their currency from gold. In this way, central banks had the freedom to:

- Lower rates
- Print money to stimulate consumption, investment, and employment.

The great crisis challenged economic orthodoxy based on the idea of **market self-regulation**. We have to say that the **dogmatic adherence to the Gold Standard was abandoned more out of necessity than out of conviction**

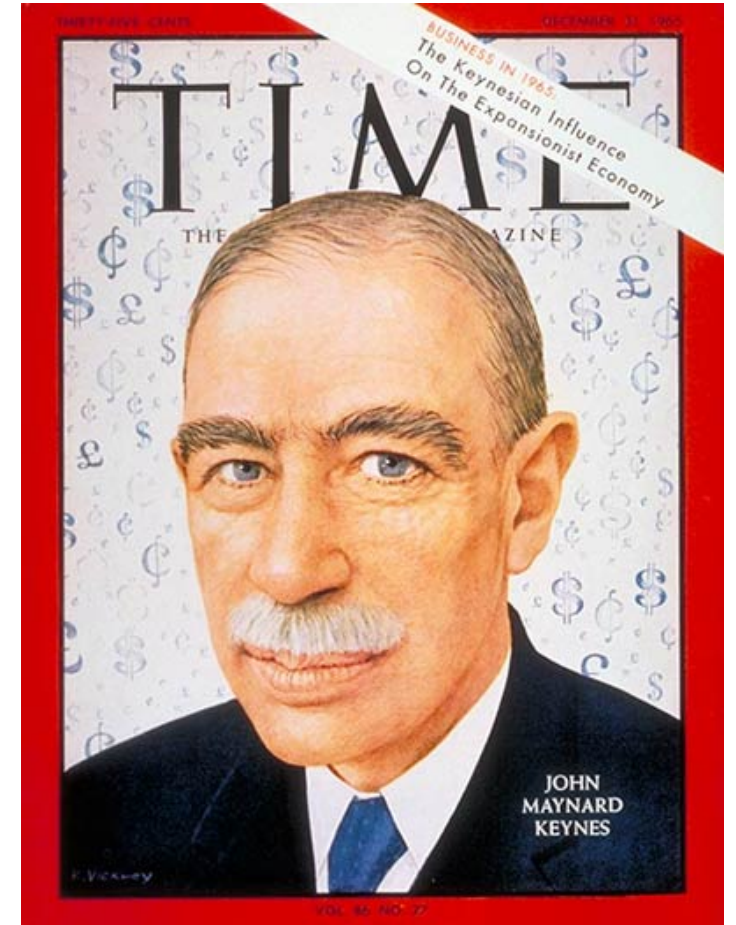


Monetary policy began to be influenced by domestic policy objectives.

THE FATHER OF THE WELFARE STATE

Who was John Maynard Keynes?

- From mathematics to economy
 - Under the influence of Alfred Marshall and Arthur Cecil Pigou
- 1919: The Economic Consequences of the Peace
- 1921: Treatise on Probability
- 1925: The economic consequences of Mr. Churchill
- 1936: General Theory of Employment, Interest, and Money
- 1944: Head of the British delegation in the Bretton Wood Conference



THE FATHER OF THE WELFARE STATE

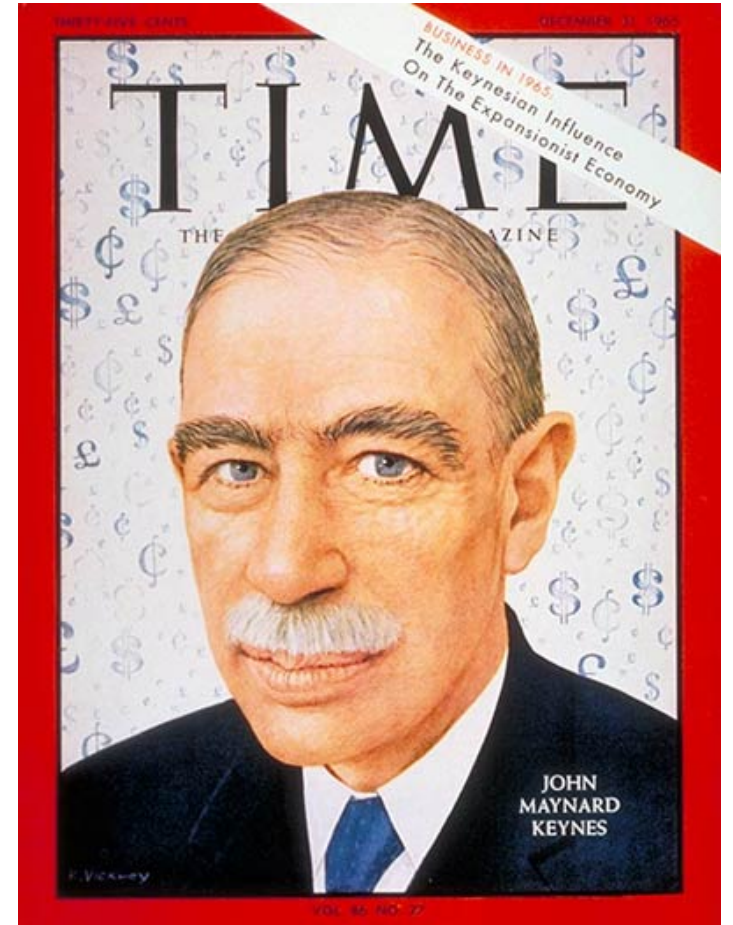
Writer for:

- Vanity Fair
 - <https://archive.vanityfair.com/article/1932/1/banks-and-the-collapse-of-money-values>
- New York Times
- The Times (London)



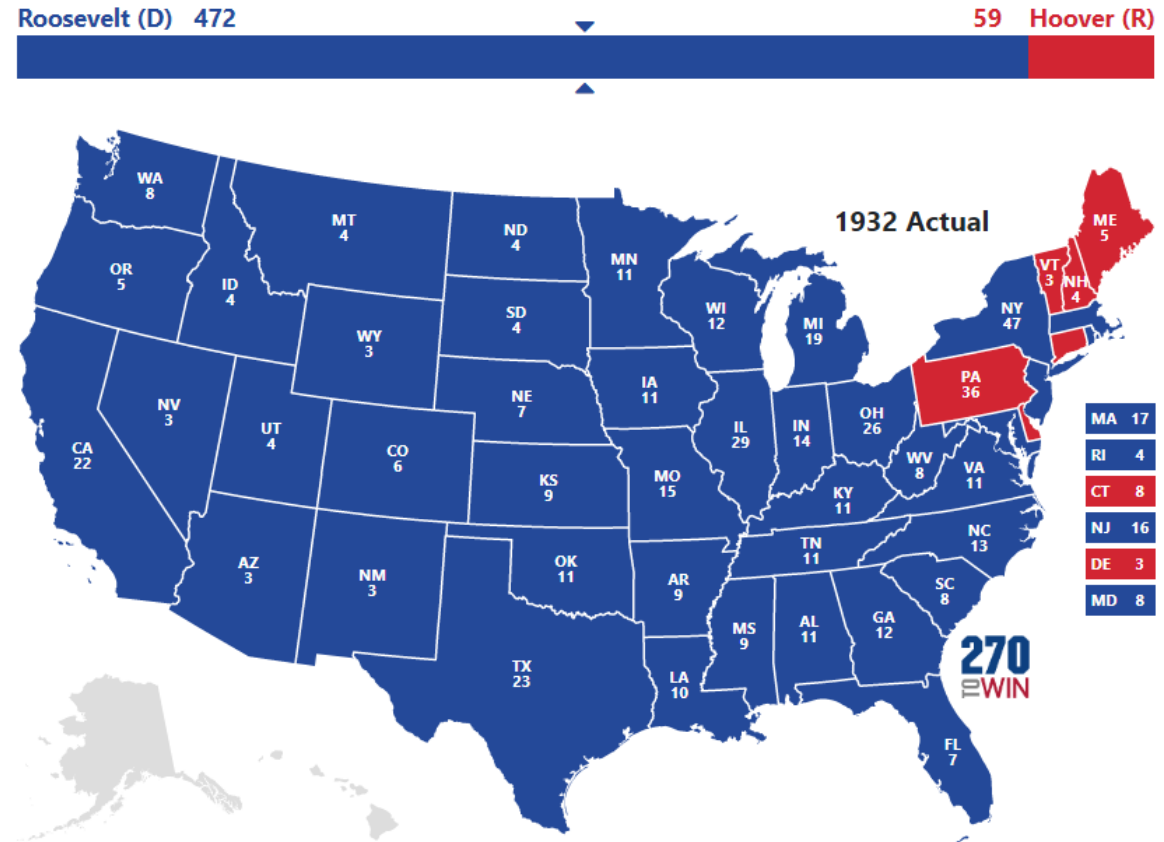
THE BIRTH OF THE WELFARE STATE

- State intervention proved indispensable to correct market failures
- the Welfare State was established.
- According to John Maynard Keynes' vision, states were to adopt counter-cyclical policies



USA: FDR AND THE NEW DEAL

- Presidential election of 1932.
- Herbert Hoover (outgoing Republican), accused of not handling the crisis properly, is defeated.
- Democrat Franklin Delano Roosevelt is elected.



FDR



“This great Nation will endure as it has endured, will revive and prosper. So, first of all, let me assert my belief that the only thing we have to fear is fear itself—nameless, unreasoning, unjustified terror which paralyzes needed efforts to convert retreat into advance. “

Franklin Delano Roosevelt, March 4, 1933

USA: FDR AND THE NEW DEAL

Who was F.D. Roosevelt

- Graduated in law at Harvard and Columbia University
- 1910 election: New York state assembly
- 1913: Assistant Secretary of the Navy
- 1928-1930: Governor of the State of NY
- 1932: Presidential Elections
- 1933-1945: Presidency



THE LEWISTON DAILY SUN, MONDAY MORNING, NOVEMBER 7, 1932 PAGE SEVEN

"Government in This Nation Cannot Let the People Starve"—Franklin D. Roosevelt

IT'S TIME FOR A NEW DEAL

VOTE FOR FRANKLIN D. ROOSEVELT

DEMOCRATIC NOMINEE FOR
PRESIDENT OF THE
UNITED STATES



ROOSEVELT PREPARED FOR PUBLIC SERVICE

*The Democratic Nominee for President was educated at Groton;
Harvard and Columbia Universities--New York State Senator
at 28 and Assistant Secretary of the Navy at 30--Governor of
New York--A fighter for good government and welfare work.*

Why Roosevelt and Garner Should Be Elected

- A \$500,000,000 Farm Board
Bubble That Failed
- A \$17,000,000 "Solomon Temple"
Commerce Building
- A \$10,000,000 Unneeded Post
Office Building
- False Representation
- A \$3,000,000,000 Budget
Deficiency
- Executive Commissions that
camouflaged facts
- Tariff Walls That Caused
Retaliation Abroad
- An Expensive Hoover Bureaucracy
- A Policy That Brought Poverty
And Loss in the Midst of Plenty

A MESSAGE TO THE WOMAN VOTER

Unless your husband or father is "one man in a million" his wages or income sooner or later becomes static. Nine times out of ten he hits the high mark short of middle life. If he is so fortunate as to get a raise from time to time, that raise seldom keeps pace with his increasing family and costs of living and the increased demands of educating the children—You, Mrs. Homemaker, are the conservator of the family finances. You must work hard, or, scrimp more, and suffer the most, yours is the burden of self-sacrifice.

VOTE A NEW DEAL FOR THE HOME

This advertisement is endorsed and paid for by the following prominent Maine citizens

LOUIS J. BRANN	MABEL CHANEY, Lisbon	ALFRED CHAREST	CLAUDIA CARLO
PAUL THURSTON, Bethel	JUDGE MATTHEW McARTHUR,	HENRI TOUTAIN	FRANCOIS FELLERIN
HENRY K. PARADIS	Randor		

B—TWELVE SUNDAY JOURNAL AND STAR, NOVEMBER 6, 1932

RETURN THE GOVERNMENT TO THE PEOPLE! ON NOVEMBER 8th.



He's Ready! Are You?

WE NEED ACTION!

FROM
PRESIDENT HOOVER'S
ACCEPTANCE SPEECH
August 16, 1932.

"We in America today are nearer to the final triumph over poverty than ever before in the history of any land. The prospect is vanishing from among us. We have not yet reached the goal, but given a chance to go forward with the policies of the last eight years (Harding and Coolidge), and we shall soon, with the help of God, be in sight of the day when poverty will be banished from this nation."

We have had four years of false prophecies, broken promises and blundering statesmanship.

Twelve years of reactionary policies have brought the nation to the worst crisis in its history! 11,000,000 idle laborers, 30,000,000 American people living on charity, 12,000 bank failures, thousands of idle factories, 600,000 home and farm foreclosures.

Agriculture is prostrate and on the verge of bankruptcy. Surplus food stuffs are smothering the farmer while millions of human beings are underfed or starving.

The President has proved his utter lack of capacity to restore the nation to economic health. The people have lost confidence in his leadership and will not be reassured by his baseless campaign forecasts of returning prosperity.

The battle has not been won! The fundamental cause of our distress has not been remedied! Each day of delay adds to human misery and despair!

THE NATION DEMANDS CONSTRUCTIVE LEADERSHIP!

ELECT... ROOSEVELT... ELECT

USA: FDR AND THE NEW DEAL

The first 100 days!!!

In an attempt to resolve the consequences of the 1929 crisis, Roosevelt initiated a set of economic and social reforms aimed at the **3 Rs**:



- **Relief**: support of the unemployed and the poor
- **Recovery**: restoring the economy to pre-crisis levels
- **Reform**: reform of the financial and economic system in order to prevent new recessions

USA: FDR AND THE NEW DEAL

The first 100 days!!!

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- **Recovery:** restoring the economy to pre-crisis levels

“We can never insure one hundred percent of the population against one hundred percent of the hazards and vicissitudes of life, but we have tried to frame a law which will give some measure of protection to the average citizen and to his family against the loss of a job and against poverty-ridden old age.”

President Roosevelt upon signing Social Security Act

USA: FDR AND THE NEW DEAL



The first 100 days!!!

- The Brain Trust
- Creation of empirical evidence
- Abandoning of mainstream approaches

USA: FDR AND THE NEW DEAL

- The New Deal consisted of two phases:
 - 1933-1934, more focus on **economy**
 - 1935-1937, more focus on **social policies**
- The first objective was to inject liquidity into the system:
 - A **Bank Holiday** of one week was proclaimed in order to assess the solvency of credit institutions → only 'healthy' banks were provided with liquidity and put back on the market.
 - the **Reconstruction Finance Corporation** (RFC) was used to buy shares and bonds of banks.
- The US moved towards a decision to abandon the GS (abandoning it in 1933): restored confidence in the banking and financial systems and stimulated domestic demand → depreciation

New Deal Programs

Act or Program	Acronym	Year Enacted	Significance
Agricultural Adjustment Act	AAA	1933	Protected farmers from price drops by providing crop subsidies to reduce production, educational programs to teach methods of preventing soil erosion.
Civil Works Administration	CWA	1933	Provided public works jobs at \$15/week to four million workers in 1934.
Civilian Conservation Corps	CCC	1933	Sent 250,000 young men to work camps to perform reforestation and conservation tasks. Removed surplus of workers from cities, provided healthy conditions for boys, provided money for families.
Federal Emergency Relief Act	FERA	1933	Distributed millions of dollars of direct aid to unemployed workers.
Glass-Steagall Act	FDIC	1933	Created federally insured bank deposits (\$2500 per investor at first) to prevent bank failures.
National Industrial Recovery Act	NIRA	1933	Created NRA to enforce codes of fair competition, minimum wages, and to permit collective bargaining of workers.
Fair Labor Standards Act		1937	Established the following – Federal minimum wage; overtime pay (time and a half) for wage earners working more than 40 hours a week. Also prohibited work by children under age of 14.
Public Works Administration	PWA	1933	Received \$3.3 billion appropriation from Congress for public works projects.

Rural Electrification Administration	REA	1935	Encouraged farmers to join cooperatives to bring electricity to farms. Despite its efforts, by 1940 only 40% of American farms were electrified.
Securities and Exchange Commission	SEC	1934	Regulated stock market and restricted margin buying.
Social Security Act		1935	Response to critics (Dr. Townsend and Huey Long), it provided pensions, unemployment insurance, and aid to blind, deaf, disabled, and dependent children.
Tennessee Valley Authority	TVA	1933	Federal government build series of dams to prevent flooding and sell electricity. First public competition with private power industries
Wagner Act	NLRB	1935	Allowed workers to join unions and outlawed union-busting tactics by management.
Works Progress Administration	WPA	1935	Employed 8.5 million workers in construction and other jobs, but more importantly provided work in arts, theater, and literary projects.

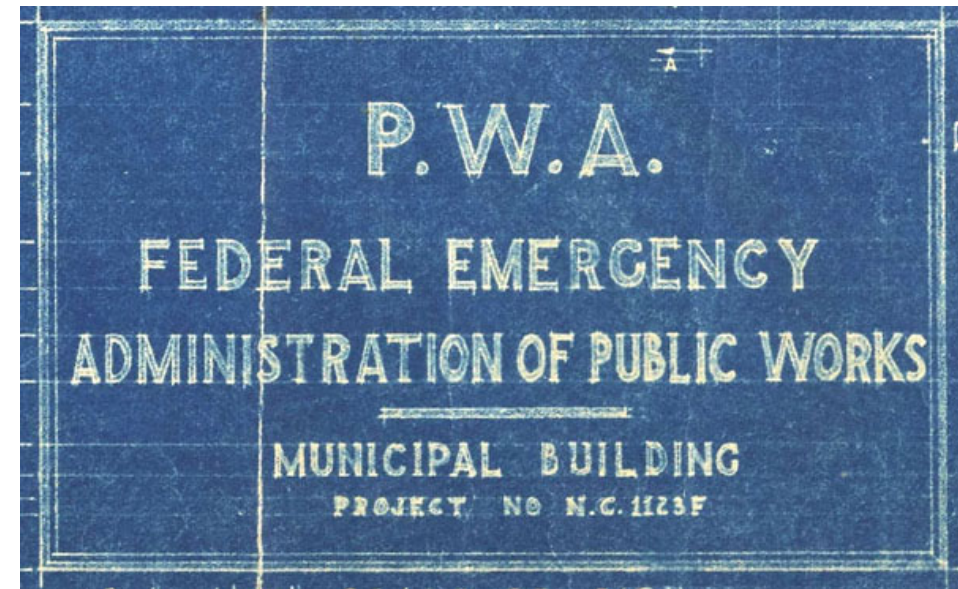
THE NATIONAL INDUSTRIAL RECOVERY ACT

- The National Industrial Recovery Act (NIRA), passed in June 1933, was one of the most ambitious and controversial pieces of legislation enacted during President Franklin D. Roosevelt's First New Deal.
- The core of the NIRA was the creation of "Codes of Fair Competition" for every major industry.
- These codes, negotiated between business leaders, labor, and the government, were designed to eliminate "cutthroat" competition, which was driving down prices and wages.
- The codes established minimum standards for the entire industry, including:
 - Minimum wages and maximum hours for workers.
 - Fixed minimum prices and limits on production quotas (to stabilize prices and prevent inventory gluts).



THE PUBLIC WORK ADMINISTRATION

- Title II of the NIRA established the Public Works Administration (PWA), which was given \$3.3 billion to fund large-scale construction projects.
- The PWA's purpose was to create jobs (relief) while also building valuable public goods (recovery).
- It funded huge projects like bridges, dams, hospitals, and schools, providing long-term benefits to the nation's infrastructure.
- It relied on private contractors to carry out the projects, meaning it provided employment indirectly, unlike other New Deal programs that hired workers directly.
- The PWA was highly successful in improving the nation's infrastructure, and many of the buildings and facilities constructed in the 1930s still stand today.



THE AAA

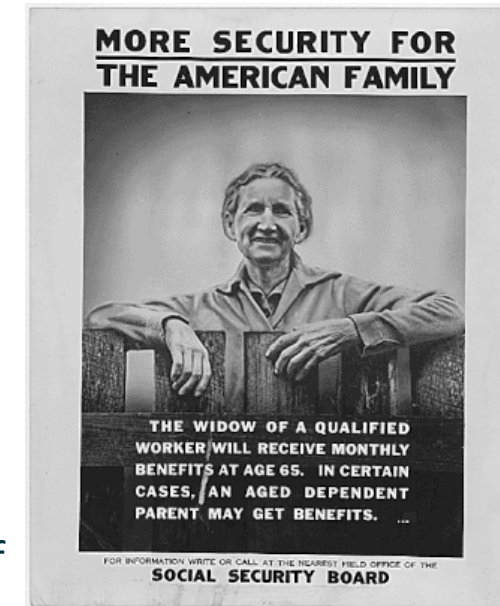


- The Agricultural Adjustment Act (AAA) passed in May 1933. It represented the federal government's most direct attempt to solve the devastating crisis facing American farmers during the Great Depression
- The fundamental problem was overproduction, which had driven commodity prices (like cotton and wheat) so low that many farmers could not afford to harvest their crops or pay their mortgages.
- The federal government provided subsidies (direct payments) to farmers who voluntarily agreed to reduce their production of "basic crops" (like corn, cotton, tobacco, rice, and wheat).
- The money for these subsidies came from a tax levied on the processors of the crops (e.g., flour millers, meatpackers). This cost was often passed on to consumers.
- In January 1936, the Supreme Court declared the AAA unconstitutional

THE NEW DEAL PART 2: 1935-37

In 1935 a series of welfare measures and new labour market regulations brought America closer to a social democracy.

- **Social Security Act**: old age pension; disability and unemployment insurance; allowances for widows and children.
- **Revenue Act** of 1935 (the "Wealth Tax") to redistribute wealth by raising taxes on large incomes and corporations
- **National Labour Relations Act** (labour market regulation): obligation for companies to recognise trade unions; introduction of collective wage bargaining.
- **Work Progress Administration**: The goal was to provide immediate, meaningful employment and restore dignity through useful work.



USA: FDR AND THE NEW DEAL

The path, however, was not entirely downhill: in 1935 and 1936, the Supreme Court ruled that various acts (NIRA and AAA, for instance) were **unconstitutional** because they were against economic freedom. Many were abandoned and other amended so as not to incur sanctions again.

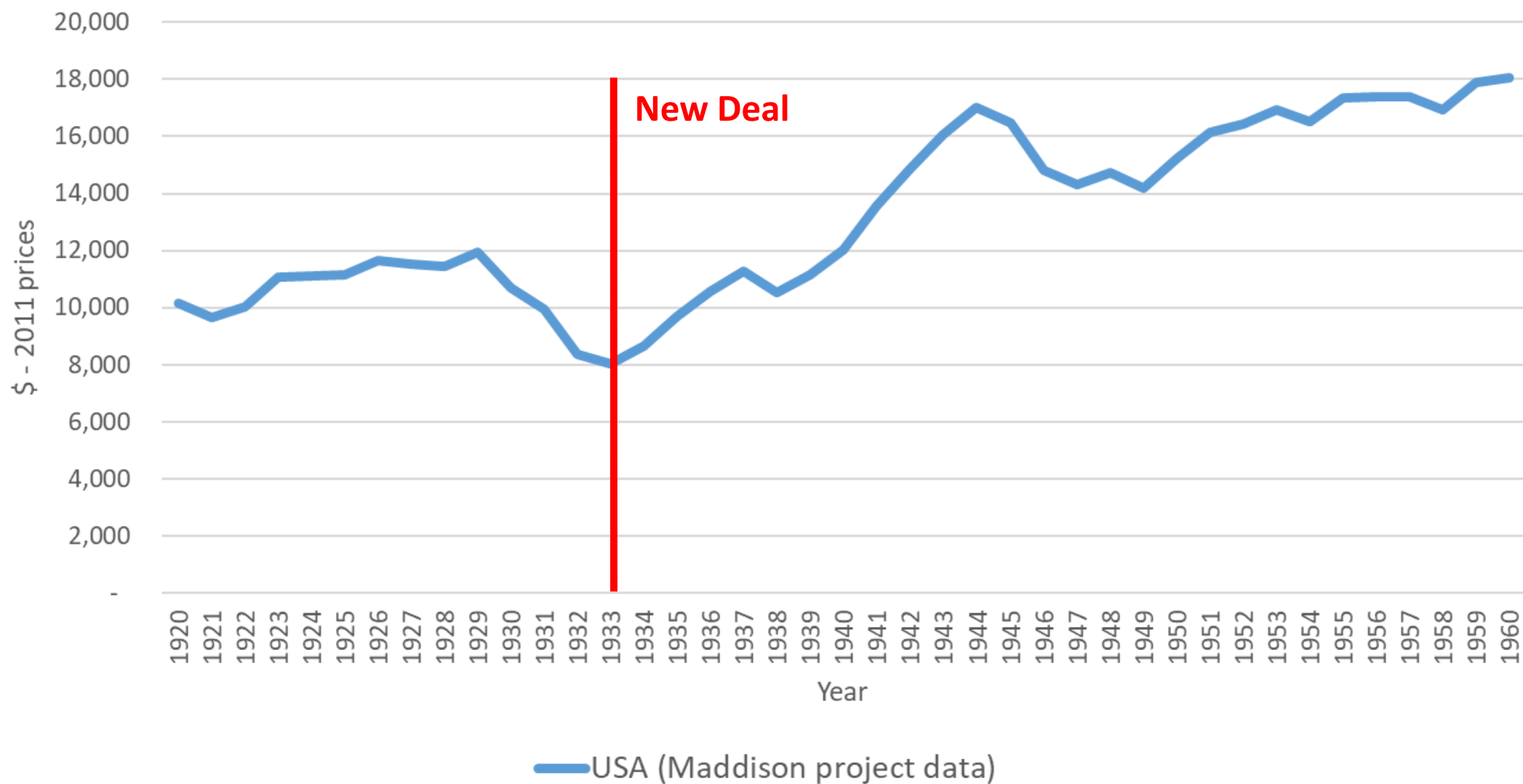
In the second mandate they have been reintroduced!!!

!!! IMPORTANT!!!



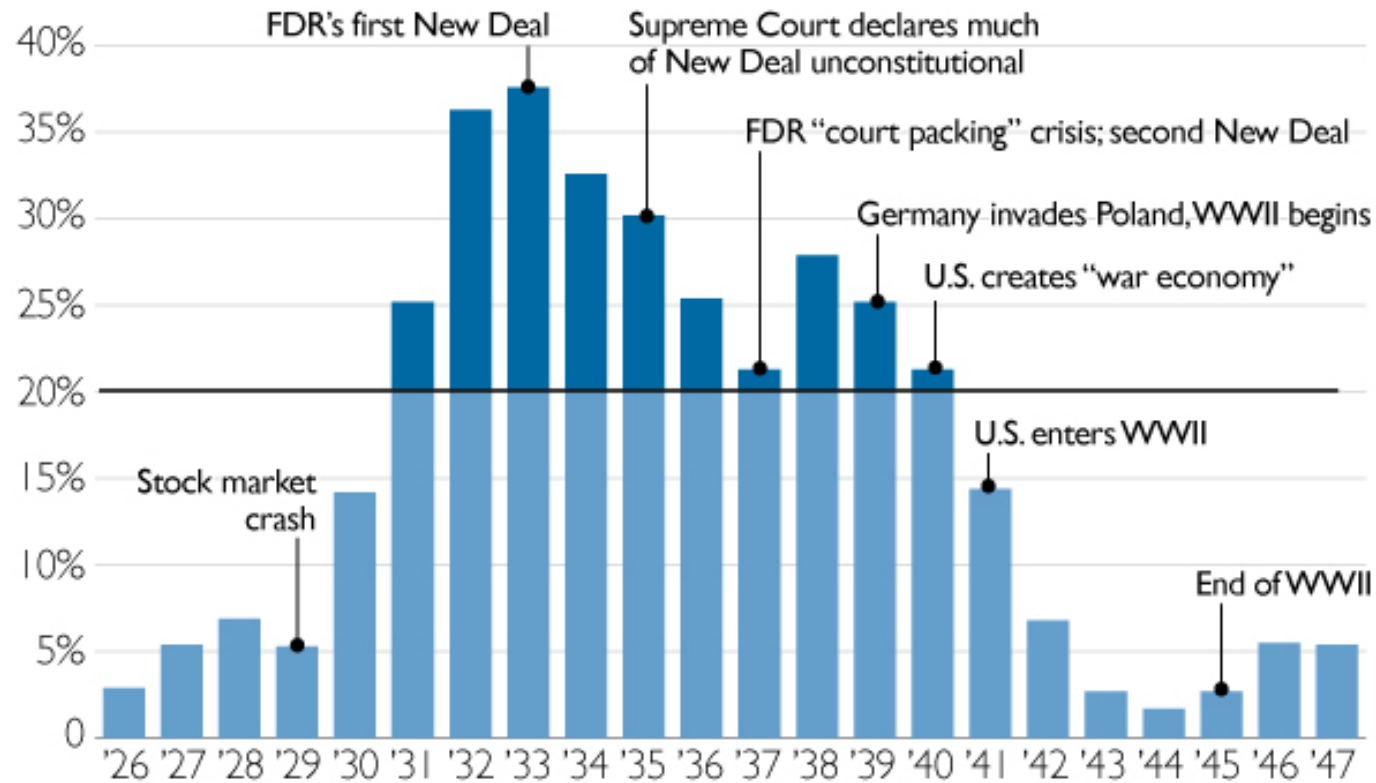
Despite the symbolic importance of many **measures**, their results were relatively limited in scope. Economic recovery was in fact also due to the policies of **currency devaluation**.

GDP per capita in the USA, 1920-1960



Unemployment Rate During the New Deal

Percentage of Jobless Nonfarm Workers, 1926–1947



Source: U.S. Department of Commerce, Bureau of the Census, Bicentennial Edition Historical Statistics of the United States Colonial Times to 1970 Part I (1975) Washington D.C., Series D I-10 "Labor Force and its Components 1900-1947", p.126

Chart 1  heritage.org